

NATIONAL EDUCATIONAL ASSESSMENT AND EXAMINATIONS AGENCY (NEAEA)

NATIONAL EXIT EXAMINATION FOR LL.B PROGRAMME STUDENTS OF ETHIOPIAN LAW SCHOOLS 2018/2019 ACADEMIC YEAR

MC
MX

22 April 2019
Time allowed: 3 Hours

PART I: PRIVATE LAWS

GENERAL DIRECTIONS

1. THIS EXAM HAS FIVE SECTIONS: ATTEMPT EACH SECTION ON THE BASIS OF SPECIFIC INSTRUCTIONS INDICATED IN EACH SECTION.
2. THIS IS A CLOSED BOOK EXAM EXCEPT PERTINENT ETHIOPIAN LAWS.
3. SUPPORT YOUR ARGUMENTS WITH PERTINENT LEGAL PROVISIONS WHENEVER APPROPRIATE.
4. PUT YOUR ANSWERS IN A SEPARATE ANSWER SHEET ATTACHED TO THE EXAM.
5. YOU MAY ASSUME FACTS WHERE NECESSARY.
6. WRITE LEGIBLY.
7. DO NOT BRING YOUR MOBILE PHONE IN THE EXAM HALL.

DO NOT TURN THIS PAGE UNTIL YOU ARE ALLOWED TO DO SO.

SECTION I: MULTIPLE CHOICES (30%)

CHOOSE THE BEST ANSWER FROM THE GIVEN ALTERNATIVES.

1. The unit of government that is legislatively empowered to decide to expropriate landholding in today's Ethiopia is:
 - A. Any relevant organ of the Federal Government.
 - B. Any pertinent unit of regional governments.
 - C. A woreda or an urban administration.
 - D. A zonal or regional administration.
 - E. A project implementing agency.
2. One of the following is true about the effects of non-performance.
 - A. In obligation to give, the debtor may escape liability by showing that he has not been at fault.
 - B. In obligation to do the best, the creditor can claim non-performance if he has not obtained the result he expected.
 - C. Force majeure exists when unforeseen conditions have made the obligation of a debtor more onerous than he foresaw.
 - D. Force majeure exists when a seller shows that he has been unable to deliver a fungible good since the fungible good was consumed by a fire that broke out in his village.
 - E. In a contract of donation, the donor is not liable for non-performance unless he has committed grave fault.
3. Identify a true statement.
 - A. Fraud vitiates consent when it is decisive and substantial.
 - B. Article 1731 of the Civil Code of Ethiopia establishes the principle of sanctity of contracts.
 - C. Contract Law is the product of democratization in Western Europe.
 - D. Contract law postdates property law.
 - E. The role of contract law significantly reduces in a market economy.

4. One of the following should **not** be taken as a determinant factor of the best interests of the child while deciding child custody:
- A. The wishes of the child's parent or parents as to custody.
 - B. Ethnicity of the parent.
 - C. The preference of the child.
 - D. The intimacy of the relationship between the parent and the child.
 - E. The mental and physical health of the parents involved.
5. Which one of the following is correct?
- A. Personal effect of marriage varies depending up on the form of celebration of marriage.
 - B. Conclusion of marriage before unauthorized officer of civil status is one ground to invalidate marriage.
 - C. A marriage concluded by a woman before 180 days after the death of her ex-husband can be invalidated by the application of public prosecutor.
 - D. Adopted child retains his/her bonds with the family of origin.
 - E. Existence of children is an obstacle to adoption.
6. Which one of the following is **incorrect** about tort of interference with liberty of another under the Ethiopian law of extra-contractual liability?
- A. Restriction of movement of a person should exist to establish fault of the defendant.
 - B. The person restricting the movement of another does not have a lawful authority.
 - C. The restriction of movement should not necessarily be for a long period of time to constitute fault.
 - D. Inflicting injury on the plaintiff is a pre-requisite to establish fault of the defendant.
 - E. It shall be sufficient for the plaintiff to have been compelled to behave in a certain manner by the threat of a danger.

7. Which one of the following is **incorrect** about tort?
- A. A tort arises when a party breaches a duty imposed on him by law.
 - B. In tort, there is no need for the defendant to know consciously that a duty exists.
 - C. Tortious liability arises where a person breaches his contractual obligation.
 - D. Tort is the imposition of duties towards people generally.
 - E. Tort is a civil wrong.
8. Pursuant to Article 1160 and the subsequent Articles (Articles 1160ff) of the Civil Code of Ethiopia, under certain conditions, a person acquires ownership of a movable through good faith. What is the relevant time good faith must exist?
- A. At the time of entry into possession of the movable thing.
 - B. At the time of conclusion of the contract of sale regarding the movable thing.
 - C. At the time of signing of the contract of sale by the parties.
 - D. At the time of attestation of the contract of sale by witnesses.
 - E. After entry into possession of the movable thing.
9. Identify the **wrong** statement.
- A. Offeree's silence constitutes acceptance when the offer is to his exclusive interest.
 - B. A person who signs the contractual document without, however, reading and understanding its content would be bound by such contractual document.
 - C. Consideration is a necessary requirement for the validity of contract.
 - D. Unilateral promise to contract is binding once accepted.
 - E. An agreement by the parties on certain matters and that they will continue to negotiate towards final contract-agreement by principle- is a contract.

10. The binding effect of offer expires if:

- A. The offeror dies.
- B. The offeree makes a counter offer.
- C. The market circumstances that affect the content of the offer changes.
- D. The offeror concludes marriage.
- E. The offeror is declared bankrupt.

11. Which one of the following is correct about irregular union?

- A. Consent of the man and the woman is essential to form valid irregular union.
- B. It is not necessary that the behaviors of the man and of the woman be analogous to that of married people.
- C. It is necessary that the man and the woman represent themselves to third parties as being married.
- D. The fact that a man and a women keep up sexual relations between them is sufficient to constitute an irregular union.
- E. There shall not be any bond of consanguinal relation between children born out of an irregular union and the relative of the woman or the man in an irregular union.

12. Which one of the following is tort of omission?

- A. Defamation.
- B. Physical assault.
- C. Failure to educate.
- D. Trespass.
- E. Inducing a wife to abandon her husband.

13. Which of the following provisions of the FDRE Constitution gives constitutional recognition to Contract?

- A. Article 40 (1&2) which recognizes the right to private property.
- B. Article 40 (3-6) which recognize public ownership of land.
- C. Article 40(7) which appears to impose limitation on extent of public ownership of land.
- D. Article 40(1&2) which recognizes the right to private property and Art 41(1&2) which recognizes economics rights.
- E. Article 55 which empowers the House of Peoples' Representatives to enact civil laws to sustain one economic community.

14. Which one of the following is **incorrect** about an offence of infringement of law under Art. 2035 of the Civil Code?

- A. An offence is committed where the law infringed is specific.
- B. An offence is committed where the law infringed is explicit.
- C. Article 2035 does not apply where the offence is regulated by other provisions of extra-contractual liability law.
- D. In order to say an offence is committed under Article 2035, the law infringed may be a decree.
- E. An offence is committed where a person infringes any law including the laws of contract.

15. Identify the **wrong** statement.

- A. Legally stipulated written contract must be attested by at least two witnesses for validity purposes.
- B. Authenticity of signature on a written contract may be proved by witnesses who attested the contract.
- C. A contract may be invalidated after performance.
- D. A contract term may stipulate grounds of unilateral cancellation of the contract.
- E. There is no legal basis to demand the cancellation of a contract before its due date.

16. The theory of vicarious liability that attributes liability on those who have the authority to regulate the behavior and manner of the wrong doers is called _____.
- A. Loss spreading.
 - B. Deep pocket.
 - C. Control test.
 - D. Analogy with causation.
 - E. Economic and moral consideration.
17. Commercial transactions that involve exchange of goods/services for consideration may be outside of the purview of contract law when:
- A. The transaction relate to an obligation that is legally prohibited.
 - B. The agreement relates to the transfer of ownership of incorporeal chattel.
 - C. There is no sufficient and legitimate cause for the transaction.
 - D. The agreement is described as honorable pledge.
 - E. The transaction highly favors of one of the parties.
18. Contemporary Contract Laws usually contains rigorous limitations on freedom of contract. One of the following does **not** indicate justifications for such limitations.
- A. Labor protection.
 - B. Property right protection.
 - C. Consumer protection.
 - D. Public order and morality.
 - E. Possibility of obligation.
19. Which of one of the following means would the government use to regulate contract?
- A. Introducing written form as a validity element of contract.
 - B. Broadening freedom of contract.
 - C. Defining contract as a consensual relation between parties.
 - D. Recognizing contract as a law between the parties.
 - E. Introducing liberal economic policy.

20. Which of the contract need to be in writing?

- A. Employment contract.
- B. Sale of Shares.
- C. Exchange of peasant land holding rights.
- D. Renting of a car.
- E. Partition of corporeal chattels.

21. Certificate of marriage:

- A. Is a document which governs the pecuniary and personal effect of marriage between spouses.
- B. Is drawn up by an officer of civil status after registering the marriage.
- C. Shall be drawn up before or on the date of celebration of marriage.
- D. Is the only means of proving marriage.
- E. Is not necessary for religious and customary marriage.

22. Identify the correct statement.

- A. The obligation to supply maintenance to relatives ceases to exist where the person who is in need attains the age of majority.
- B. An adopted child may claim maintenance as he wishes either from his family of origin or adoptive family.
- C. An adopted child may not have the right to claim maintenance from the parents of his adoptive family who oppose the adoption.
- D. A man is obliged to supply maintenance to destitute father of his ex-wife who divorced him.
- E. Obligation to supply maintenance does not exist between persons related by consanguinity in the collateral line.

23. The court is **not** the only organ competent to:

- A. Solve marital disputes.
- B. Decide on the existence of marriage.
- C. Decide on the validity of marriage.
- D. Decide on the presence of an irregular union.
- E. Pronounce divorce.

24. Paternal filiation of a person could be established where a man:

- A. Was living with the mother of the child in marital relationship a year before the birth of the child.
- B. Was living with the mother of child in an irregular union a year before the birth of the child.
- C. Made a declaration in writing that he considers himself as the father of a merely conceived child.
- D. Starts to live with the mother of the child in marital relationship six months after the birth of the child.
- E. Made an oral declaration that he considers himself as the father of the child born.

25. Which one of the following is **incorrect** about pecuniary compensation?

- A. It refers to compensation of damage by way of money.
- B. It is the principal mode of compensation for material damage.
- C. Exceptionally, it can be used to compensate moral damage.
- D. The Ethiopian law of compensation for damage as a rule follows pecuniary compensation for material damage.
- E. It sometimes includes compensation in kind.

26. A voidable contract may **not** be cured by:

- A. Failing to claim invalidation within certain period of time.
- B. Confirmation by the person whose consent was vitiated.
- C. Redressing the damage.
- D. By avoiding the vitiated provision of the contract.
- E. By performing both sides of the obligation.

27. Set-off is possible when:

- A. Both debts are money debts which are due and unrelated to tax or maintenance obligation.
- B. Both debts are fungible things measurable by the same unit of measurement.
- C. Either or both obligations relate to a thing given in pledge.
- D. The court raises the need to make set-off.
- E. The nature of the obligations is the same.

28. A suretyship certifier is:

- A. A person who guarantees the effectiveness of the indemnity claim of a guarantor.
- B. A person demanding assurance by the debtor.
- C. Secondary guarantor.
- D. Joint creditor.
- E. Joint debtor.

29. Which one of the following is true about the mode of payment of compensation under the Ethiopian law of extra-contractual liability?

- A. The mode of payment is left to the discretion of the plaintiff.
- B. The mode of payment is left to the discretion of the court.
- C. The mode of payment is left to the discretion of the defendant.
- D. Lump sum payment is the rule while periodic allowance is an exceptional mode of payment.
- E. Periodic allowance is the rule while lump sum is the exceptional mode of payment.

30. A joint owner may act as a sole owner in connection with:

- A. Transfer of his/her share.
- B. Sale of the thing co-owned.
- C. Administration of the thing co-owned.
- D. Mortgage of the thing co-owned.
- E. Donation of the thing co-owned.

SECTION II: MATCHING (10%)

MATCH THE ITEMS UNDER 'A' WITH THOSE UNDER 'B'.

- | <u>A</u> | <u>B</u> |
|--------------------------|--|
| 1. Equity financing | A. Increase of capital by issuing transferable securities |
| 2. Corporate management | B. Deals with designing company's policy and strategies |
| 3. Closed company | C. Composed of both general and limited partners |
| 4. Debt Financing | D. A company formed among founders |
| 5. Corporate governance | E. Meeting calls |
| 6. Limited partnership | F. A partnership that best protects interests of third parties |
| 7. Ordinary partnership | G. Civil business organization |
| 8. Prospectus | H. Increasing capital of a company by issuing new shares |
| 9. General partnership | I. Dealing with day to day activities of a company |
| 10. Duty of shareholders | J. Document through which call for public investment is made |

SECTION III: SHORT ANSWER (10%)

GIVE SHORT ANSWERS for THE FOLLOWING QUESTIONS.

- 3.1 What is strict liability? Discuss briefly. (5%)
- 3.2 Explain the grounds of dissolution of marriage? (5%)

SECTION IV: ESSAYS TYPE QUESTIONS (20%)

WRITE SHORT ESSAYS FOR THE FOLLOWING QUESTIONS.

- 4.1 Discuss the distinction between joint guarantee and simple guarantee. (12%)
- 4.2 Discuss peculiar features of each of the four partnerships under Ethiopia law. (8%)

SECTION V: HYPOTHETICAL CASES (30%)

5.1 HYPOTHETICAL CASE I (15%)

W/o Fatuma was a wealthy businesswoman residing in Akaki Kaliti Sub-city of Addis Ababa. She had accumulated a lot of wealth from a restaurant business which had several branches. Apart from five restaurants in various areas of Addis Ababa, she had two automobile cars and a deposit of three million Birr at Awash International Bank. She had also a successful marital relationship with Ato Mustefa until recently. She gave birth to three children in their 15 years of marriage.

For the last six months, however, Fatuma's family was in crisis owing to a serious disagreement between her and her husband. The source of disagreement was Fatuma's suspicion of Mustefa's extra-marital relation with a woman called Neima which Mustefa categorically denied. A month ago, Fatuma started to insult Mustefa as soon as he came to his house in late evening. Because Mustefa was extremely angry at what she was doing, he punched and slapped her face. Fatuma responded by pointing a pistol at him and threatened to kill him. After confrontation for some time, Mustefa managed to snatch the pistol from her and shot her on chest. Fatuma died 5 days later after a failed medical treatment to save her life. After a few months of criminal proceeding against Mustefa, the court ordered his release contending that he committed the act under self-defense.

Just a year prior to her death, Fatuma made a valid public will through which she bequeathed her entire property to her husband.

5.1.1. Does Mustefa have the capacity to inherit Fatuma? Why/Why not? (7%)

5.1.2. Assuming that Mustefa has the capacity to inherit, indicate the share Mustefa is entitled to. (8%)

5.2 HYPOTHETICAL CASE II (15%)

Ato B is building a house on a plot of land that has been under his lawful possession for several decades. He has employed Ato C to excavate the foundation for Birr 20,000 (twenty thousand Birr) as a piece rate payment. In the course of Ato C's excavation of the basement, he has found out gold which is worth 10,000.000 (ten million) Birr. To the best of Ato B's knowledge and by all appearances, the plot of land has not been dug in those decades. Ato C claims he is entitled to the entire gold. Ato B also claims that he is entitled to it all and only owes Ato C his lump sum payment for the work performed.

5.2.1 How should the dispute between Ato B and Ato C be resolved? (7.5 %)

5.2.2 Do you think that there is anyone else who can potentially claim the gold? (7.5%)